
BLOCK 3 EXTENDED MARKETING MIX FOR SERVICES

From a services perspective, in Block 2 of the course, we have already discussed the traditional 4 Ps of the marketing mix: product, price, place, and promotion. In this block, we will discuss the additional 3 Ps: people, process, and physical evidence. These 3Ps are also known as the “extended marketing mix for services.” Unit 8 explains the importance of managing people for services, as employees play a vital role during service encounters. Managing physical evidence is covered in unit 9. Guidelines for developing a physical evidence strategy are also discussed in this unit. Managing the service process is discussed in the last unit of this block. The categorization of service encounters and processes, as well as the importance of service blueprinting and consumer involvement in the service process, are covered in this unit. The unit also outlines a number of reasons why customers switch, and most of these reasons are controllable by good complaint management and effective service recovery.

UNIT 8 MANAGING PEOPLE

UNIT 9 MANAGING PHYSICAL EVIDENCE

UNIT 10 MANAGING SERVICE PROCESS

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UNIT 8 MANAGING PEOPLE

Learning Outcomes

After studying this unit, you should be able to:

- discuss the extended marketing mix for services.
- describe the fifth 'P' of the marketing mix called 'People'.
- appraise the challenges faced by service personnel.
- analyze the need for internal marketing in a service organization.
- examine the cycle of failure and the cycle of success in services.
- appraise the elements of service profit chain.
- explain the strategies for people management in service firms.

Structure

- 8.1 Introduction
- 8.2 People
- 8.3 Challenges of Service Personnel
- 8.4 Internal Marketing
- 8.5 The Service Profit Chain
- 8.6 People Management in Service Firms
- 8.7 Summary
- 8.8 Keywords
- 8.9 Self-Assessment Questions
- 8.10 Project Questions
- 8.11 Further Readings and References

8.1 INTRODUCTION

For service industries, it was observed that the traditional marketing mix was inadequate because of three main reasons. The first reason was that the original marketing mix was developed for manufacturing industries, which implies that the services offered by service companies ought to be changed in a more product like manner so that the existing marketing tools can be applied. This was practically difficult.

The second reason was that the marketing practitioners in the service sector found that the marketing mix does not address to their needs. They observed that the services have certain basic characteristics, which in turn have marketing implications (as discussed in Unit 2). For example, there is a problem as regard to maintaining the quality due to lack of standardization or services cannot be inventoried, patented or transferred.

The third reason was that since services are basically different in comparison to physical products the marketing models and concepts have, therefore, to be developed in direction of the service sector.

The above three observations suggest that a revised framework for service marketing mix is required and dimension of each of the mix elements should be redefined. The marketing mix has extended beyond 4Ps for marketing of services. These additional Ps are added to meet the marketing challenges posed by the characteristics of services.

Booms and Bitner though without any empirical work suggested a '7 P' marketing mix model arising out of the above three observations. McGrath and others endorsed such an approach, and a number of marketing research studies supplement the relevance of each of the '7 Ps'.

In this unit we will discuss the fifth element of the services marketing mix called People.

8.2 PEOPLE

People constitute an important dimension in the management of services in their role both as performers of services and as customers. People as performers of services are important because, "A customer sees a company through its employees. The employees represent the first line of contact with the customer. They must, therefore, be well informed and provide the kind of service that wins customer approval. The firm must recognise that each employee is a salesman for the company's service". The importance of customers in services stems from the fact that most services imply active and involved customer-organisation interface.

8.2.1 Service Personnel

Service personnel are important in all organisations but more so in an organisation involved in providing services. The behaviour and attitude of the personnel providing the service is an important influence on the customer's overall perception of the service and he can rarely distinguish between the actual service rendered and the human element involved in it.

How often have you called a call center for any kind of service support and had to wait before getting a response? What do you think the call center employees have done to help that service company's reputation?

Due to technology and the availability of alternative methods of communication and information seeking, including as email, chatbots, social media sites, etc., the case of the call center employee is still under control because it provides a low contact system. High or low contact is defined on the basis of percentage of total time the customer has to spend in the system compared with the relative time it takes to service him. By this definition, restaurants, hospitals, schools represent a high contact organisation. The other important distinction of service personnel is between those that are visible to the customer and those that are not. In a restaurant, the waiters are visible while the cook in the kitchen is not. As a marketing manager you have to devote more time training the visible personnel, since they have greater responsibility in maintaining relations with the customer. The rice dish which is not cooked properly is the cook's fault but it is the waiter who will have to bear the brunt of the customers' anger. The manner in which the waiter behaves with the customer will be an important determinant in the restaurant losing that customer forever or retaining him as a regular client.

As a marketing manager your primary concern is the visible service personnel and especially so if yours is a high contact organisation. You have to be concerned with ways in which you can improve the quality and performance of your service personnel. This can be done through:

- a) careful selection and training of personnel;
- b) laying down norms, rules and procedures to ensure consistent behaviour;
- c) ensuring consistent appearance; and
- d) reducing the importance of personal contact by introducing automation and computerisation wherever possible.

We will further discuss these aspects in the next section on Internal Marketing (Section 8.3)

8.2.2 Customers

Customers are important because they are a source of influencing other customers. In the case of doctors, lawyers, consultants one satisfied customer will lead to a chain reaction, bringing in his wake a number of other customers. Thus, as a marketing manager, your first task should be to ensure complete satisfaction of the existing customers. The kind of customers that you attract exerts an important influence on prospective customers. The prospective customer may feel attracted towards the organisation (it may be a restaurant, club, school, college) because it has his 'type' of customer or the customer may turn away if he perceives the existing customers to be of a kind with whom he would not like to associate. You have to decide about the class of customers you would like to have and work towards providing your service organisation an image which will fetch you your future customers.

8.3 CHALLENGES OF SERVICE PERSONNEL

Service personnel that interact with customers have some of the most stressful jobs. Let us discuss some of the main issues facing service personnel that make their jobs difficult.

8.3.1 Boundary Spanning Roles

Service employees are known as boundary spanners because they function at the boundary of the organisation. They serve as a bridge between an organization's internal activities and its external customers, stakeholders and environment. They play a vital role in comprehending, sorting, and evaluating data and materials entering and leaving the organisation. They have a variety of duties to perform, some of which can be contradictory, which makes their job challenging. Some examples of boundary spanner personnel include front desk employees or order takers in retail outlets or restaurants.

8.3.2 Emotional Labour

Emotional labour occurs when there is a mismatch between how a service employee feels internally and the emotions that management expects them to display in front of customers. An air hostess, for example, can experience emotional labour while giving smiles, maintaining eye contact, demonstrating genuine interest, and engaging in a discussion with passengers who are essentially strangers and whom they might never see again.

8.3.3 Role Conflict

Service employees usually need to manage numerous tasks and consumers at once, which frequently leads to workplace conflicts.

Role conflicts have three basic sources, including person/role conflicts, organization/client conflicts, and interclient conflicts, as discussed below.

Person/Role Conflict. Service employees may have conflicts between their personalities, self-perceptions, and beliefs and the demands of their jobs. For example, the job can call for employees to smile and treat even rude customers with kindness. Employees who are compelled to dress a certain way or adjust any part of their appearance in order to meet employment requirements may also experience person/role conflict.

Organization/Client Conflict. An employee may encounter conflict when conflicting expectations are placed on them by the organisation and the clients, respectively. For example, many department stores assign their personnel the task of maximising sales per customer through suggestion and engagement. Customers, however, prefer to be left alone to make their own decisions, and support should only be provided upon request.

Interclient Conflict. Employees frequently find it difficult or impossible to satisfy the complete range of wants of a group of heterogeneous clients when serving a large number of customers at once. Any college classroom where the teacher must accommodate a wide range of student expectations and varying preferences for formats and style will obviously show this type of conflict.

Activity 1

Describe the challenges that service personnel face (you may select any service sector such as healthcare, hotel, retail, education, and travel). Share any experiences you have had as a service provider or a customer as well.

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8.4 INTERNAL MARKETING

Although the discussion on significance of employees in the business activity started in mid-seventies the concept of internal marketing was introduced only afterwards. One school of advocates of this concept initially suggested that the employer should apply market research, market segmentation and traditional marketing activities like advertising in order to attract employees and make them perform in the desired way. Such traditional marketing efforts should be used internally.

It was Gronross who suggested that internal marketing should be broader than the traditional marketing. He suggested that internal marketing should be viewed as a managerial philosophy. According to him, “The internal marketing concept states that the internal market of employees is best motivated for service-mindedness and customer-oriented performance by an active marketing like approach, where a variety of activities are used

internally in an active, marketing like and coordinated way.” The starting point in internal marketing is that the employees are the first internal market for the organization.

8.4.1 Strategic and Tactical Objectives of Internal Marketing

Gronross clarified that the basic objective of internal marketing is to develop motivated and customer conscious employees. If this is the case, then it has strategic as well tactical implications. His point of view has been summarized in Table 8.1. Parsuraman and Berry suggested that a service company can only be as good as its people. A service is a performance, and it is usually difficult to separate the performance from the people. If the people do not meet customers’ expectations, then neither does the service. Investing in people quality in a service business means investing in product quality.

Table 8.1: Strategic and Tactical Objectives of Internal Marketing

Overall Objective	To develop motivated and customer-conscious personnel.
Strategic Level Objective	To create an internal environment that supports customer-consciousness and sales-mindedness among the personnel through supportive: • Management methods • Personnel policy; • Planning and control procedures.
Tactical Level Objective	To sell services, supporting services (used as means of competition), campaigns, and marketing efforts to the employees based on these principles: • the personnel are the first market of the service company; • the employees must understand why they are expected to perform in a certain manner, or in a certain situation, actively support a given service or supporting service; • the employees must accept the services and other activities of the company in order to support the service in their contact with the consumers; • a service must be fully developed and internally accepted before it is launched; and • the internal information channels must work; personnel selling is needed internally, too.

Source: Christian Gronross, “Internal Marketing: An Integral Part of Marketing Theory.” In: J.H. Donnelly and W.R. George, Eds., *Marketing of Services*, (Chicago: American Marketing Association), 1981.

8.4.2 Elements of Internal Marketing

To realize its potential in services marketing, a firm must: realise its potential in internal marketing-the attraction, development, motivation, and retention of qualified employees. Internal marketing paves the way for external marketing of services. The companies that practice internal marketing most effectively will:

1. Compete aggressively for talent market share;
2. offer a vision that brings purpose and meaning to the workplace;
3. equip people with the skills and knowledge to perform their service roles excellently;
4. bring people together to benefit from the fruits of team play;
5. leverage the freedom factor;
6. nurture achievement through measurement and rewards; and
7. base job-product design decisions on research.

The seven components of internal marketing practice, as indicated above, lend us to an action checklist, which is given in Table 8.2.

Table 8.2: Action checklist on Internal Marketing

1.	Do we compete as hard for employees as we do for end-customers? Are we imaginative in how we compete for talent? Are we bold? Do we experiment and try new strategies? Do we use a variety of media? Do we use the right people to recruit and interview- people who will make a strong impression, people who can sell?
2.	Does our company stand for something worthwhile? Do we offer our employees vision that they can grab hold of and believe in? Do we have a reason for being that makes our company as special place to work? Do we communicate our vision well? Do we weave it into our company culture at every opportunity?
3	Do we prepare our people to perform excellently? Do we view skill and knowledge development as an investment rather than an expense? Do we view it as an ongoing process rather than an event? Do we view it as a confidence builder and a motivator? Do we teach our people “why” and not just “how?” Do we go beyond training and educate as well?
4	Do we stress team play? Do our organizational structure, physical work environment, training and educational efforts foster teamwork? Do our employees understand where they fit in the company team? Do they understand the big picture?

5	Do we allow our employees the freedom to come through for their customers? Do we make rules that fit the aspirations of our best employees rather than protect us from our worst employees? Do we work at keeping our policy and procedure manuals thin? Do we work at building empowerment into our culture?
6	Do we measure and reward that which is important? Do we measure and reward employee performance that contributes most to our vision? Do we use multiple methods to measure and to reward? Do we emphasize fairness in the methods we use? Do we give all employees the opportunity to be recognized for their excellence?
7	Do we listen to our employees? Do we use formal and informal research techniques to investigate their attitudes, concerns, and needs? Do we proactively solicit their input? Do we act on what we learn? Do we use the data to improve the job-product?

Source: Adapted from Leonard L. Berry and A. Parsuraman, *Marketing Services: Competing*

Through Quality, Free Press, 1991, pp. 171-172.

Activity 2

From the table 8.2., identify those activities which are important in a commercial bank, where you operate your Savings Account.

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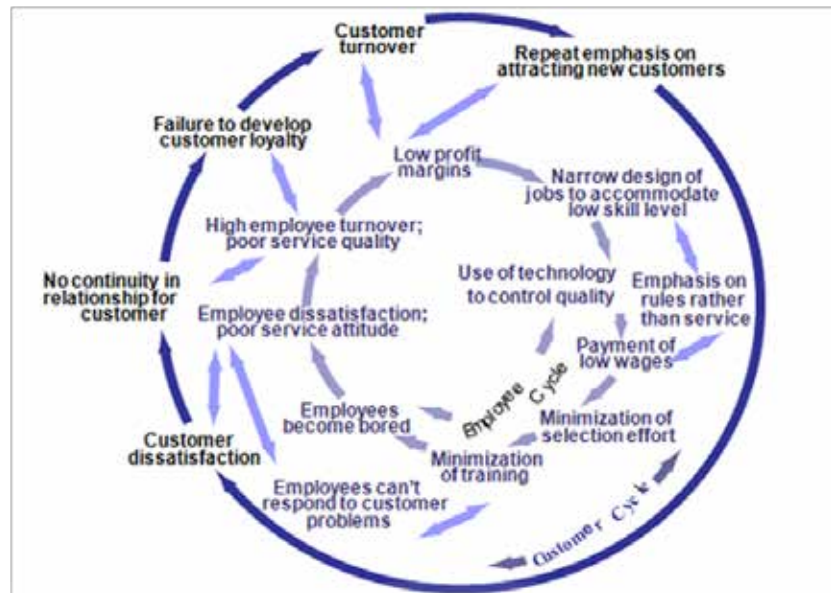
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8.4.3 Importance of Internal Marketing in Organizational Success or Failure

A successful service firm implies a significant level of internal marketing also. The employees of a service firm have to share the same concern as the conceptualizer of the service. In fact, the service has to be marketed first to the intermediate customers who are the employees of the firm, more specifically, the front-line employees or the contact persons. In such a case, a service strategy has to be focused internally also. A complete strategic vision, when due importance is not given to caring of employees, traps the service into a cycle of failure. Figure 8.1 and 8.2 show the cycles of failure and success.

Figure 8.1 Cycle of Failure

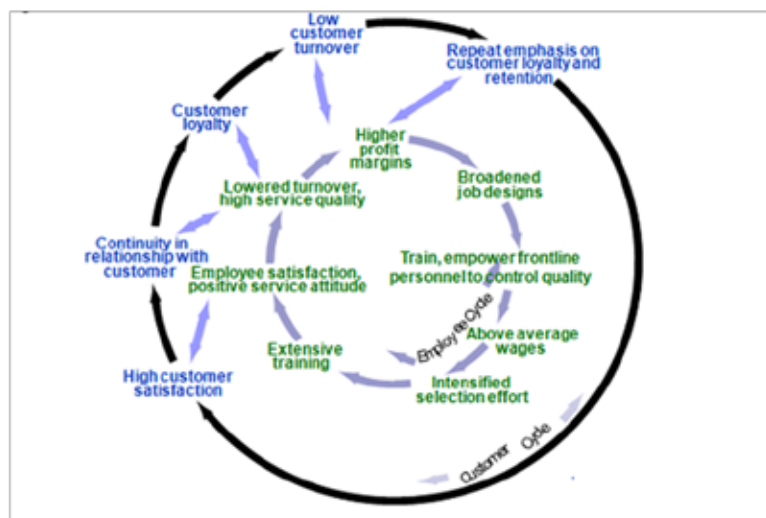


Source: Adapted from Schlesinger, L.A. & Heskett, L.A. (1991) "Breaking the Cycle of Failure in Services" *Sloan Management Review*, Spring 32:3, p.17

The "Cycle of Failure" refers to a condition in a service organisation where employee turnover is high and morale is low owing to unsatisfactory pay, inefficiencies in workplace and job design, and a variety of other factors. It is known as a cycle because managers in these organisations do nothing proactive to change the issue, which leads to a recurrence of the problem with new employees.

Service organisations can, however, break out from the "Cycle of Failure." This would involve adopting a different perspective known as the "Cycle of Success." The improvement of internal customers' level of satisfaction through various measurements and initiatives is a requirement for the "Cycle of Success."

Figure 8.2 Cycle of Success



Source: Adapted from Schlesinger, L.A. & Heskett, L.A. (1991) "Breaking the Cycle of Failure in Services" *Sloan Management Review*, Spring 32:3, p.17

It is clear from these cycles that proper selection, training and the development of employees ensures success (Schlesinger & Heskett, 1991).

Implementation of such a strategy is fairly difficult task. It requires a service orientation which is more of a software to excellence. For service industries, personnel hold the key to success and the process needs sharing of values by every employee in the organisation. An implementation process for a hospital for example could involve the following six steps:

1. Overcome differences: CEOs need to create a compelling vision of the future for the board, medical staff, management team and support staff.
2. Identifying key strategic initiatives like realising physician and hospital financial incentives: Focusing on the complete range of health care, including prevention, diagnosis and recovery, making the hospital campus more user-friendly and tailoring ambulatory care program to consumer needs.
3. Remove the barriers: Once the CEOs have a strategic plan, they need to tackle organisational elements that will inhibit its success. For example, are there too many layers of management? Do incentives and compensation plans mesh with the strategic goal?
4. Identify informational needs for decision making: Make sure that information needs are met at all levels of the hospital-from CEO to clerk.
5. Develop a process of continual improvement: Once you have translated your strategy into action, constantly assess its performance and ways that performance can be improved.
6. Empower and motivate your staff: This is the only way that total quality management can be fully integrated into every aspect of the hospital.

Activity 3

In view of the failure and success cycles, consider two service organizations you are familiar with and identify the reasons that contributed for their success and failure. What suggestions would you make for either of these two firms?

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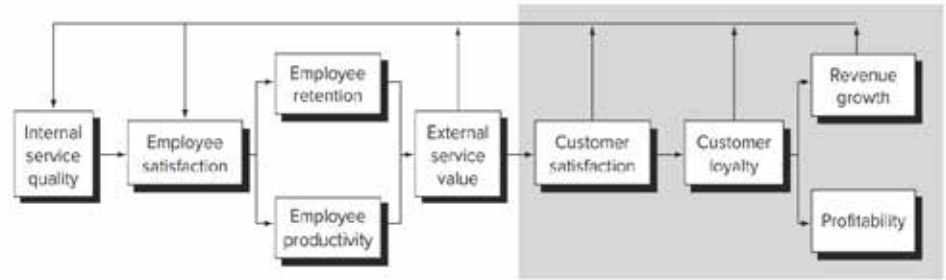
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8.5 THE SERVICE PROFIT CHAIN

According to the service profit chain, internal service quality, employee satisfaction, the value of the services offered to customers, and ultimately customer satisfaction, retention, and profits are all critically linked, as shown in figure 8.3.

Figure 8.3 The Service Profit Chain



Source: Adapted from J. L. Heskett, T. O. Jones, G. W. Loveman, W. E. Sasser Jr., and L. A. Schlesinger, "Putting the Service-Profit Chain to Work," *Harvard Business Review* 72 (March–April 1994), pp. 164–174.

The service profit chain hypothesizes a relationship between customer satisfaction and employee satisfaction. Customer loyalty and satisfaction are the key drivers of a company's profitability and revenue growth. Customers are more likely to be satisfied when employees make their interactions with the company and service experience happy and enjoyable. In other words, happy employees attract happy consumers. Unless service employees are happy in their jobs, customer satisfaction will be difficult to achieve. Employees that are satisfied with the company's internal service culture will be productive and help to increase profitability by ensuring that consumers are satisfied and coming back for more, thus attracting repeat business.

Internal quality receives emphasis from the service profit chain. The level of company policies and support services that enable employees to perform their jobs determines how satisfied they are. While making investment decisions, the management of internal service quality should receive the same consideration as the management of external service quality.

8.6 PEOPLE MANAGEMENT IN SERVICE FIRMS

To ensure that service personnel are willing, able, and motivated to perform in a customer-focused, service-minded manner, a combination of strategies is required. Zeithaml, Bitner, and Gremler (2018) have suggested the strategies to develop a workforce that is focused on providing excellent customer service, as depicted in figure 8.4.

Figure 8.4 Human Resource Strategies for Delivering Service Quality through People



Source: Adapted from Zeithaml, V.A., Bitner, M.J., and Gremler, D.D. (2018). *Services Marketing: Integrating Customer Focus Across the Firm*, Seventh Edition, McGraw-Hill Education.

8.6.1 Hire the Right People

Making the appropriate hires is the first step to doing it correctly. Recruitment and hiring of service personnel should receive a great deal of attention if service quality is to be properly delivered. Hiring the right people includes competing for the best people, hiring for service competencies and service inclination, and being the preferred employer.

A service organisation must find the best candidates and compete with other organisations for their hiring in order to secure them. Service competency and service inclination are two complementing skills that are required of service employees. The abilities and knowledge required to perform a job are known as service competencies. The term “service inclination” refers to a desire to work in service-related job, which is demonstrated by attitudes toward service and orientation toward serving customers and co-workers. Being recognised as the preferred employer in a specific industry is one approach to attracting the best candidates. An employee survey can be used to measure it. For example, Google is the preferred employer in its field and has been named by Fortune as the “Best Company to Work For” seven times in the last ten years.

8.6.2 Develop People to Deliver Service Quality

Once a service organisation has selected the best employees, it must train and interact with them to ensure service quality. Developing people to deliver service quality comprises technical and interactive skill training, employee empowerment, and teamwork promotion.

Employees require continual training in the required technical and interpersonal abilities in order to deliver quality service. Technical abilities include things like knowing how a retail store’s cash registers work and how an insurance company does its underwriting. The ability to interact effectively with customers is made possible by training in interactive skills. It allows the service personnel to provide courteous, caring, responsive, and empathetic service.

Enabling employees with the freedom, knowledge, skills, resources, tools, and motivation to choose how to best serve customers is what is meant by employee empowerment.

An organisation can improve employee performance by encouraging teamwork, and the support and togetherness they receive increases their propensity to provide outstanding service.

8.6.3 Provide the Needed Support Systems

Service personnel need internal support mechanisms that are in line with their requirement to be customer-focused in order to be efficient and effective in their job performance. For example, a bank employee needs internal support from management, co-workers, and other divisions as well as technology facilitation for transaction accuracy and customer satisfaction.

Providing the needed support systems includes measuring internal service quality, providing supportive technology and equipment, and developing service-oriented internal processes.

Measuring and rewarding internal service is one strategy to promote positive internal service relationships. Internal customer service audits help in deciding needs, evaluating performance, and making corrections.

Service employees require the proper tools and technology support in order to perform their jobs effectively and efficiently.

The satisfaction and value of the customer should be considered while designing the internal processes of service organisations. These processes should also make it easier for the service staff to deliver high-quality service.

8.6.4 Retain the Best People

After recruiting and professionally developing the service personnel to deliver desired quality services, service organizations must also try to retain the best people. Some strategies that will help retain the best employees are including employees in the company's vision, treating employees as customers, and measuring and rewarding strong service performers.

To keep employees motivated to work for the organisation and support its goals, employees of service organisations need to be a part of the vision.

Employee retention rates will likely be better if they feel valued and their needs are being met by the organization. Many service organizations now view their employees as internal customers who can be pursued by basic marketing strategies as targeted to external customers.

The best service performers must be rewarded and promoted for retaining them. Systems of rewards may take into account factors like productivity, sales, or another aspect of providing quality service.

8.6.5 Use Automation to reduce dependency on People

Service industries find it difficult and expensive to manage their service personnel. Moreover, customers can notice variations in product quality when different service professionals do the same tasks. Automation can be used to improve uniformity or cut costs. In some services, production and delivery processes can be completely automated, such as the use of ATMs, vending machines, automatic car washes, etc. In other instances, equipment can help service professionals complete their tasks efficiently and effectively. As an illustration, consider the employment of computers, chatbots, tools, etc.

Activity 4

Identify the strategies needed to make people management successful in following services

a) an airline

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b) a restaurant

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8.7 SUMMARY

People constitute an important dimension in the management of services in their role both as performers of services and as customers. Services marketing strategy calls not only for external marketing but also for internal marketing to motivate the employees and interactive marketing to create skills in the service providers. Service personnel that interact with customers have to perform a variety of duties, some of which may be in conflict with one another, which makes their job challenging. The unit provided an action checklist on internal marketing. The importance of internal marketing was highlighted using cycle of success and cycle of failure. Elements of service profit chain and the strategies for people management in service firms were also discussed in the unit.

8.8 KEY WORDS

Boundary Spanners: service employees are referred to as boundary spanners because they operate at the organization's boundary.

Emotional labour: occurs when there is a mismatch between how a service employee feels internally and the emotions that management expects them to display in front of customers.

Role Conflict: Service employees usually need to manage numerous tasks and consumers at once, which frequently leads to role conflicts.

Internal Marketing: employees are motivated for service-mindedness and customer-oriented performance by an active marketing like approach.

Cycle of Failure: refers to a condition in a service organisation where employee turnover is high and morale is low owing to unsatisfactory pay, inefficiencies in workplace and job design, and a variety of other factors.

Cycle of Success: refers to improvement of internal customers' level of satisfaction through various measurements and initiatives to break out from the "Cycle of Failure."

Service Profit Chain: internal service quality, employee satisfaction, the value of the services offered to customers, and ultimately customer satisfaction, retention, and profitability are all essential components of the service profit chain.

8.9 SELF-ASSESSMENT QUESTIONS

1. What do you think are the main reasons for including the element of people in the marketing mix for services?
2. Write short notes on the Significance of Internal Marketing.
3. Compare and contrast the employee's attitude and behavior towards customers amongst the following organization. Do you 'see the significance of employees in servicing the customers better? Identity

- how a motivated employee can provide higher customer satisfaction in these organizations.
- a) Nationalized bank and a private bank.
 - b) Bharat Sanchar Nigam Limited (BSNL) and any private Telecom service providers.
 - c) Super bazaar and a private department store.
4. Describe the basic human resource strategies that are important to creating a customer-focused firm.

8.10 PROJECT QUESTIONS

1. Interview a manager from a service organisation of your choice. Describe the organization's people management practices and suggest any necessary improvements.
2. Assume that you are the Director of Student Registration Division of National Open University. Frontline customer-service employees working in the division largely handle inquiries and grievances of students. In this particular instance, answer the following questions.
 - a. Explain what is meant by boundary-spanning roles in this particular context and discuss the basic purposes or functions of participants in these roles.
 - b. Discuss two potential conflicts that your employees could experience as a result of their roles as boundary spanners.
 - c. Discuss how you, as their director, would have resolved these conflicts based on what you have learned in this unit.

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UNIT 9 MANAGING PHYSICAL EVIDENCE

Learning Outcomes

After studying this unit, you should be able to:

- appraise the importance of physical evidence in services marketing.
- assess the effects of Servicescape on Behaviour
- describe the elements and factors of physical environment.
- analyse the roles of physical evidence in service marketing
- explain the guidelines for physical evidence strategy.

Structure

- 9.1 Introduction
- 9.2 Physical Evidence
- 9.3 Effects of Servicescape on Behaviour
- 9.4 Physical Environment Factors
- 9.5 Roles of Physical Evidence
- 9.6 Guidelines for developing physical evidence strategy
- 9.7 Summary
- 9.8 Keywords
- 9.9 Self-Assessment Questions
- 9.10 Project Questions
- 9.11 Further Readings and References

9.1 INTRODUCTION

Cleanliness in a doctor's clinic, the exterior appearance and interior decor of a restaurant, the comfort of the seating arrangement in a cinema hall, adequate facility for personal needs at the airport all contribute towards the image of the service (organisation) as perceived by the customer. The common element in these is that they all physical, tangible and controllable aspects of a service organisation. They constitute the physical evidence of the service.

9.2 PHYSICAL EVIDENCE

It can be difficult to understand and evaluate the services before making a purchase, as services are intangible and often produced and consumed simultaneously. As tangible proof of the service, the physical evidence serves as the primary criterion for determining the customer's expectations prior to the purchase and this has an effect on the way in which personnel and customers interact. In the physical surroundings, customers experience the service, which also has an impact on how service personnel and customers interact.

The environment in which the service is delivered and where the firm and the customers interact is defined as physical evidence. These are tangible clues that promote the service. It helps to improve how well customers perceive the quality of the service. Physical evidence communicates the credibility of services; hence it is very important to service marketers.

There may be two kinds of physical evidence:

- a) peripheral evidence
- b) essential evidence

9.2.1 Peripheral evidence

Peripheral evidence is actually possessed as a part of the purchase of service but by itself is of no value. An airline ticket, a cheque book, or receipts for a confirmed reservation in a hotel are examples of peripheral evidence. A cheque book is of value only if you have money in the bank-without that is of no significance. Peripheral evidence adds on to the value of essential evidence. In a hotel you may find a writing pad, pen, complimentary flowers and drinks, which you may take away. These are representations of peripheral evidence. Such evidence must be designed keeping in mind the overall image which the organisation wishes to project and the reminder value of the evidence in its ability to remind the customer about the organisation.

9.2.2 Essential evidence

Whereas peripheral evidence is possessed and taken away by the customer, the **essential evidence** cannot be possessed by the customer; the building, its size and design, interior layout and decor, logo and equipments etc. are constituents of the essential evidence. The essential evidence is a very critical input in determining the atmosphere and environment of the service organisation. Contrast the essential evidence of a five-star hotel (its long driveway, grand entrance manned by a liveried doorman, sophisticated decor of lobby) with that of a fast-food outlet (with bright colours, loud music, and bright lights) and judge the kind of rich and formal atmosphere of the former with the relaxed and casual atmosphere of the latter.

You can use physical evidence to build a strong association in the customers' mind and also to differentiate your service from the competition. As a marketing manager it is your responsibility to manage the physical evidence in order to create the ideal environment for your service. You can do this in two ways: one by making the service more tangible, and two, by making it easier for the customer to grasp the concept of the service.

One obvious way of making the service more tangible is by developing a tangible representation of the service as is done in the case of credit cards. Credit cards have a physical entity and are identifiable by their brand name (American Express, Diners, Visa, BOB, i.e., Bank of Baroda) and distinct looks of the card. Other ways by which a service can be made more tangible is by standardising the physical attributes such as location, interior decor, colour scheme etc. Most airlines use a uniform for all their staff to help create a sense of identification.

The second way is to make it easier for the consumer to understand the concept of the service which you are offering, with easily perceived objects

and ideas. Promoters of package tours may provide detailed information about the hotel, food and transport facility they would be using to help the customers understand the concrete dimensions of the tour and thus reduce their anxiety arising out of uncertainty. Specific information about the various dimensions of the service should be provided to prospective customers. As a marketing manager you can help the customers to understand the service you are offering by stressing the organisation and customer relationship. Advertising agencies assign one account executive or a team to a particular client to help him identify with the agency.

Activity 1

What are the components of physical evidence in case of

- a) Railways
- b) Banks
- c) Theatre performances?

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9.3 EFFECTS OF SERVICESCAPE ON BEHAVIOUR

In the context of services, servicescapes refer to the intentional manipulation of physical aspects that creates a service environment or atmosphere. Service customers and employees are key to the success of services, and the environment in which services are provided has a significant impact on how they behave. The theoretical foundation for explaining how service settings affect customers and service personnel is provided by environmental psychology. The two main models will be briefly discussed in this section.

9.3.1 Stimulus–Organism–Response (SOR) model- According to this model, people's affective states, or emotions and feelings, are influenced by their environment, which in turn affects how they behave.

In the model, the multidimensional environment serves as the stimulus, while customers and employees are the organisms that respond to the stimulus, and the responses are the behaviours aimed at the environment. The underlying principle is that various aspects of the servicescape will have an impact on customers and employees, and that these individuals will act and react differently based on their internal responses to the servicescape.

According to environmental psychologists, people often respond to environments in one of two, opposing ways: approach or avoid. All desirable activities that might be directed at a specific location, such as a desire to stay, explore, work, and attach, are considered approach behaviours. The reverse, a desire not to stay, explore, work, or attach, is reflected in avoidance behaviours.

9.3.2 The valence and intensity model of affect - According to this model, affect can be represented by the two interrelated dimensions of pleasure (valence) and arousal (intensity). Pleasure is a direct, subjective response

to the environment that depends on how much the individual likes or dislikes the environment. Arousal is a less subjective concept than pleasure quality and describes how stimulated the person feels. These together decide whether people approach an environment, spend time and money there, or avoid it.

The emotional states that are caused by the service environment directly affect how customers and employees respond. Through the formation of emotional states, the environment can influence behaviour in the form of approach or avoidance. Approach behaviours can include the desire to remain at the service facility, explore and engage with the service environment, interact with others, and feel fulfilled. The avoidance behaviours, on the other hand, manifest as a desire to avoid the service facility, neglecting service personnel and other customers and causing a sense of disappointment and dissatisfaction.

Activity 2

Explore how the following service providers use their physical evidence strategy to induce the proper emotional states in their customers:

- a) Cafés and Tea Shops
- b) Education (playschool and higher education)
- c) Restaurants

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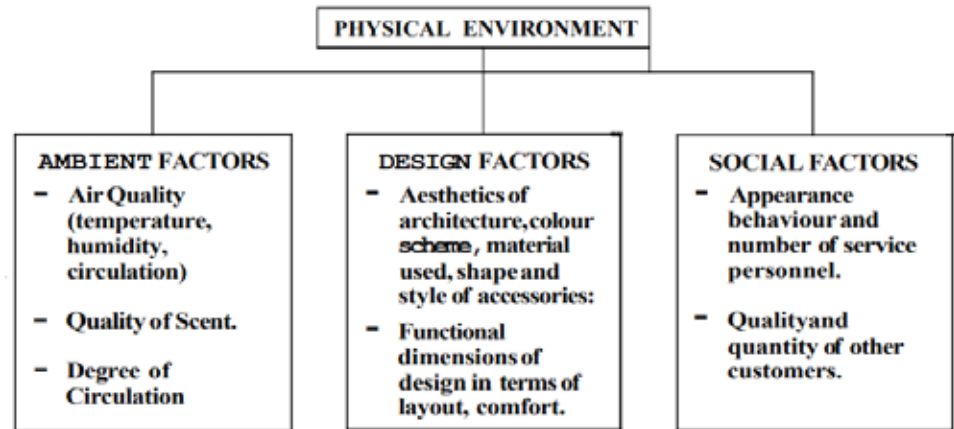
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9.4 PHYSICAL ENVIRONMENT FACTORS

Physical environments are designed to create a deliberate impact and elicit a certain response from the target audience. It has influence on both customer and employees. The physical environment is not the same in all kinds of services. Depending on the nature and type of services, it varies. For example, in the case of remote services (such as telephone, insurance, utility, etc.), where customers use the services from a distance and only employees carry out actions in the service settings, consideration must be given to the needs, effectiveness, motivation, and satisfaction of service personnel in the physical environment. When a customer uses a self-service (such as an ATM or vending machine) to get a service on their own, the physical environment should be simple to use and emotionally satisfying. Whereas, in the case of interpersonal services, where both the customer and service personnel share the service facility (as in hospitals, restaurants, airlines etc.) the physical environment must take into account the nature and quality of social interaction that will occur between the customer and service providers.

There are various elements that make up the physical environment, and services firms have a varied range of physical environments. According to Julie Baker, the physical environment is a composite representation of ambiance, design, and social relationships. Figure 9.1 illustrates these three physical environment aspects as ambient factors, design considerations, and social factors.

Figure 9.1: Ambient, Design and Social Factors of Physical Environment



Ambient Factors

Ambient factors relate to the background conditions below the level of a customer's immediate awareness. It refers to aspects of the environment or atmospheric conditions present in a place that affect your five senses. The ambient conditions include elements such as temperature (hot, cool, warm), air quality (clean and fresh, polluted/stale, humidity, circulation etc.) background music or noise, and odor (scents and aroma that trigger olfactory senses). These elements can all have an impact on how people feel, think, and respond when they interact with a service provider.

Design Factors

The design factors are those visual stimuli that exist at the forefront of a customer's awareness. The aesthetics of architecture, colour schemes, materials used, shapes, and accessory styles, among other things, have significant meaning. Different elements of the physical environment act as explicit or implicit signals for the users of the place.

Explicit communicators include signs that are placed both inside and outside of a facility. They can be used as labels (firm names, department names, etc.), for directional purposes (entrances, exits), and to communicate behavioural norms (no smoking etc.). Other environmental symbols and artefacts may convey information less explicitly than signs, offering users implicit hints about the context of the environment as well as expectations for conduct. In order to convey service concepts and build first impressions, signs, symbols, and artefacts are essential. Customers search for environmental signals to help them identify a certain service facility and set their expectations when they are unfamiliar with it.

Functional dimensions of design in terms of layout, comfort refers to how the service facility's space is set up. Spatial layout refers to the arrangement of machines, equipment, and furnishings. The size, form, and spatial relationships of these components are taken into consideration during layout design. A well-designed layout improves the effectiveness and efficiency of service operations and makes customer interactions more comfortable. Functionality is the capability of those items to make performing service interactions easier.

The social factors relate to interactive environment comprising of people. When evaluating the quality-of-service environment, the appearance and behaviour of both service personnel and customers should be specifically taken into account because they have the capability to improve or diminish the image that a service environment creates. The concept of “aesthetic labour” is used to convey the significance of a service personnel outward appearance to customers. Similar to this, marketing communications may aim to draw customers who will actively contribute to the ambiance developed by the service provider through their own appearances and conduct in addition to valuing it.

The physical environment can influence social interactions in two ways: by affecting the length of the interaction and the flow of events. The physical proximity, seating arrangement, size, and flexibility of the setting all have an impact on the opportunity for and constraints of social interactions between customers and service personnel. For example, various services promote customer interaction through closer seating arrangements and layouts that encourage active communication.

Activity 3

For a specialty restaurant identify the ambient, design and social factors which are important from the customer’s point of view:

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9.5 ROLES OF PHYSICAL EVIDENCE

The primary role of evidence management is to support the organisation’s marketing programme by making it possible to manage both intended and unintended cues which can give adequate evidences to customers and thereby influence perceptions. Interestingly, the physical evidences also influence employees who interact with customers during the service delivery. Parsuraman et. al. identified six specific roles of evidence as represented in Figure 9.2.

Figure 9.2: Role of Evidence in Services Marketing



Shaping First Impression

Customers form an initial impression of a service provider when they are exposed to exterior and interior elements of physical evidence of a service facility. Such early impressions shape the mind and affect how subsequent service-related situations are perceived. As a result, the service provider has the chance to influence customers' first impressions through the service outlet's physical surroundings.

Managing Trust

The physical evidence serves as a signal to customers. Positive indications will reduce consumer fears and suspicions and foster confidence. The management of customer trust will be supported by the consistency in quality of the physical evidence.

Facilitating Quality of Service

A good service facility makes it easier for customers and employees to participate in the creation, delivery, and consumption of services. It ensures that the necessary support infrastructure is present, in the appropriate places, and operating as intended. The service environment itself has the power to uplift the spirits and emotions of those performing services.

Changing the Image

The physical evidence has the ability to modify how people perceive the service provider and the service outlet. The upgrading of facilities, such as the conversion of non-air-conditioned spaces to air-conditioned spaces, more space for customers to move around in, new decor, new lighting systems, a new dress code for service personnel, a new style of reception, etc., all help to change the perception of the service provider.

Providing sensory stimuli

The aesthetic elements of the physical evidence may arouse the senses. These stimuli encourage customer participation in the delivery of services and quality perception.

Socializing employees

Employee cooperation is essential for services if customers are to receive high-quality services. By communicating desired roles, behaviours, and relationships, the physical evidence elements can help in employees and consumer socialisation. Service ambience fosters formal and informal interactions and aids in the fostering of social ties among them.

Depending on the competitive situation, marketing objective and the resources, an organization can use evidence for some or all of the above roles, though these roles are not mutually exclusive. Arising out of the above reasons the services organization are expected to use a two-prong marketing communication strategy aimed at not only tangibilizing the message but also the service.

Tangibilizing the service implies that tangibles associated with the service are emphasized in communication as if they themselves form the service. For example, DHL courier service is advertised with a visual of an airport showing a fleet of their aircrafts and Benz trucks. Alternately, you create

tangible representations of the service to symbolize. For example, ‘comfort’ in air travel can be tangibilized using comfortable seats with extra leg-space. This can also be emphasized in advertising.

The second step of marketing communication, tools aim at tangibilizing the message by creative use of evidence in messages, by guaranteeing the service and by encouraging positive word of mouth. By tangibilizing the message, the service organization makes the advertising message less abstract and more credible through the use of physical evidence. For example, “Personal Point” is giving physical evidences as regard to the weight loss of their customers. The other method of tangibilizing the message is to guarantee the service. For example, some of the private airlines emphasize on a higher percentage of on time arrivals and departures.

Hart suggested that though warranties are effectively used in manufacturing goods quite successfully, they can equally be applicable in-service industries. If the quality of the service and the service delivery of an organization are excellent, a service organization then can possibly guarantee it to gain competitive advantage. We will discuss in detail the issues related to service guarantees in the Unit 13 of this course.

The third method of tangibilizing the message is to create and encourage a favourable word of mouth. In service sector the consequences of selecting a wrong service supplier are invariably higher and as a result the customers invariably seek the opinion of others. It is in this context the word of mouth is important in giving tangible clues to customers.

Activity 4

Suppose you are appointed as a consultant to a gym. Considering the role of physical evidence discussed in this section, how would you suggest the gym begin the process of developing an effective physical evidence strategy?

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9.6 GUIDELINES FOR DEVELOPING PHYSICAL EVIDENCE STRATEGY

Managing physical evidence is essential for a service business to succeed. It significantly influences both employee and customer behaviour. The following are some guidelines for managing physical evidence effectively.

Recognize the Strategic Importance of Physical Evidence

As we have already discussed, expectations and perceptions of service quality can be significantly influenced by physical evidence. Therefore, recognising the importance of physical evidence is a significant first step for service organisations. After that, for physical evidence strategy to be successful, it must be clearly linked with the organization’s overall goals and vision. The concept of service for both internal and external clients, as well as the future vision, must be considered when designing it.

Blueprint the Physical Evidence of Service

Service blueprinting should be done to ensure clarity regarding how service processes are arranged, where people and other environmental elements, as well as the equipment, furniture, and other support materials are placed. Service blueprints can be used to visually indicate opportunities for physical evidence, among other things. Physical evidence opportunities could be identified at various steps of the service creation and delivery process. For example, if a customer interacts with service personnel at a counter as the first stage in the service creation process, the counter offers an opportunity to manage physical evidence elements for expected outcomes.

Clarify Roles

As we have discussed earlier in this unit, physical evidence has an influence on both customers and employees, and the elements of physical evidence vary depending on the nature and type of services. Clarifying the roles will make it easier to find opportunities and decide who should be contacted in a certain situation to make facility design decisions. Clarifying the roles also acknowledges the significance of the physical evidence in creating positive service experiences.

Assess and Identify Physical Evidence Opportunities

The ways in which physical evidence can be improved and modified must be investigated by service providers. The effectiveness of the physical evidence in communicating the intended messages (high-quality service, exceeding customers' expectations, and firm reputation) can be evaluated. Based on customer and employee assessments of the physical evidence, missed opportunities or any flaws in the current physical evidence strategy could be discovered for improvement. For example, the physical evidence of a restaurant that promotes "family dining" to its targeted market segment might not be compatible with the high-priced menu cues. Depending on these revelations, the pricing or the layout of the restaurant would need to change.

Update and Modernize Physical Evidence

Certain physical evidence elements require regular or recurring updating and modernization. Service providers need to be ready to adapt when the market changes. The orientation to change makes the service firm innovative and significantly more effective than its competitors in influencing the opinion of the customers.

Encourage Team Approach

The service user interacts with a system that exposes him or her to various physical evidence elements. If a multifunctional team is not involved in their conception, design, and management, there is a very significant possibility that these evidence will proceed in the opposite direction. For example, the facility, the service personnel, and the service process could be the three points of contact in a normal service engagement. These three elements will not produce consistent signals or be compatible unless a single team is in charge of managing the evidence.

Activity 5

Managing Physical Evidence

Select a service organisation you are familiar with and analyse the physical evidence in view of the guidelines discussed for developing a physical evidence strategy.

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9.7 SUMMARY

The unit discusses how physical evidence affects customer and employee experiences and service processes. The environment in which the service is delivered and where the firm and the customers interact is defined as physical evidence, which includes both peripheral as well as essential evidence. The various elements of physical evidence include ambient factors, design factors, and social factors. The Effects of Servicescape on Behaviour explain that when a customer is subjected to a service environment, it is processed by the customer, which in turn leads to the approach or avoidance behavioural responses. The unit also discusses the role of physical evidence and concludes with specific guidelines for physical evidence strategy.

9.8 KEY WORDS

Ambient Factors- refers to aspects of the environment or atmospheric conditions present in a place that affect your five senses.

Design Factors- those visual stimuli that exist at the forefront of a customer's awareness.

Essential Evidence- whereas peripheral evidence is possessed and taken away by the customer, the essential evidence cannot be possessed by the customer. For example, interior layout and décor.

Peripheral Evidence- possessed as a part of the purchase of service but by itself is of no value.

Physical Evidence: the environment in which the service is delivered and where the service personnel the customers interact.

Servicescapes- refer to the intentional manipulation of physical aspects that creates a service environment

Social Factors- relate to interactive environment comprising of people.

Stimulus–Organism–Response (SOR) model- people's affective states, or emotions and feelings, are influenced by their environment, which in turn affects how they behave.

Valence and Intensity model of affect - affect can be represented by the two interrelated dimensions of pleasure (valence) and arousal (intensity).

9.9 SELF-ASSESSMENT QUESTIONS

- 1) Do you think that physical evidence really matters in marketing of services? Discuss with the help of examples.
- 2) Write short notes on the Physical evidence as an element of Marketing Mix.
- 3) Discuss the effects of Servicescape on behaviour with an example.
- 4) Explain the factors of physical environment and how each can influence customer responses to the service environment.
- 5) What are the guidelines for the development of a physical evidence strategy? Discuss.
- 6) In the following organizations identify the various physical evidences and suggest ways to improve upon them.
 - a) Nationalized bank and a private bank.
 - b) Super bazaar and a private department store.

9.10 PROJECT QUESTIONS

1. Visit a service environment and take a close look around. Experience the environment and make an effort to know how the elements of physical evidence influence your feelings and actions there.
2. Visit a self-service environment and analyse the elements of physical evidence. What do you personally found to be most and least effective? How could that environment be improved?

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UNIT 10 MANAGING SERVICE PROCESS

Learning Outcomes

After studying this unit, you should be able to:

- appreciate the importance of service processes.
- explain classification of service process.
- examine the benefits of service blueprinting.
- appreciate the importance of customer involvement in service process
- explore the reasons of customer switching and ways of managing it,
- discuss strategies for effective complaints handling and service recovery
- analyze the issues in service process management

Structure

- 10.1 Introduction
- 10.2 Service Process
- 10.3 Classifying Service Processes
- 10.4 Designing Service Processes
- 10.5 Customer Involvement in Service Process
- 10.6 Customer Switching
- 10.7 Complaining and Service Recovery
- 10.8 Issues in Process Management
- 10.9 Summary
- 10.10 Keywords
- 10.11 Self-Assessment Questions
- 10.12 Project Questions
- 10.13 Further Readings and References

10.1 INTRODUCTION

In a service organisation, the system by which you receive delivery of the service constitutes the process. In fast food outlets, the process comprises buying the coupons at one counter and picking up the food against that at another counter. The process of a delivery function, which can be compared with that of operations management, implies the conversion of input into the finished product. But in a service organisation there is no clear-cut input or output. Rather, it is the process of adding 'value' or 'utility' to system inputs to create outputs that are useful for the customers. Additionally, the production process of goods takes place in factories in the absence of customers. However, because of the inseparability characteristics of services, consumer interaction with the system is essential for the creation of services. As a result, the client takes an active role in the delivery of services and acts as a co-producer of many services. In this unit we will

discuss the importance of process elements of extended service marketing mix.

10.2 SERVICE PROCESS

Service processes outline the manner and order in which service systems operate as well as how they interact to produce the value proposition that customers are promised. Services processes are the architecture of services, which must be planned and managed to deliver the desired customer experience. The process used to create and deliver the service is critical to the performance of service operations. A restaurant's product is the process of preparing and serving foods, while an airline markets the process of commuting. A haircut is a good example of a simple service operation. Traveling overseas on an international flight may be a part of more complex service process.

Shostack gave a much-simplified version and described the 'process' in three stages. First, a process can be broken down in logical steps to facilitate analysis and control. Secondly, there are more than one available options of processes in which output may differ. Finally, each system includes the concept of deviation or tolerance standards in recognition that the processes are 'real time' phenomena that do not conform perfectly to any model or description, but functions within a norm.

Shostack further observed that in marketing literature no description on process is found although concepts, which relate to process like 'standardization' and 'customization', are frequently mentioned. In her article Shostack described processes in two ways.

The first way is according to the steps and sequences that constitute the process and she termed it as 'complexity of process'. The second is according to the exceptional latitude or variability of those steps and sequences, which she called 'divergence'. Any service process is a combination of both-complexity and divergence. Analyzing the number can identify a service's complexity and intricacy of the steps required and the degree of freedom inherent or allowed in a process step or sequence can be called its divergence. In reality there could be services where process can be of high complexity and low divergence. Such services are called standardized services. For example, housing loan from any financial institution. On the other hand, there could be services with low complexity and high divergence. Such services can be called customized services.

When we are developing clarity on understanding of process management, an understanding of above-described phenomenon is essential as complexity and divergence are not fixed rather they are factors that can be changed or adjusted for efficiency in the process. A change in overall complexity or divergence generally indicates one of the four overall strategic directions, each with positive consequences and also the risks, as summarized in Table 10.1

Table 10.1: Strategic Directions of Structural Changes

Strategic Options	Advantages	Disadvantages
Reduced Divergence	– Uniformity would reduce cost, improve productivity and make distribution easier – Increase perceived reliability, uniform service quality and greater service availability.	– Inflexibility in operating procedures. – Lower customization and thus consumer rejection inspite of low cost.
Increased Divergence	– Greater customization and thus niche positioning strategy. – Less dependence on volume. – More margins as market may respond positively to personalization and thus prestige.	– Difficult to manage, control and distribute. – Limited number of customers may be available who are willing to pay the price that customization demands.
Reduced Complexity	– Reduced complexity indicates a specialization strategy. – Narrowing the service offering makes distribution and control easier. – Perceived positively in the market provided it stands out.	– Reduced complexity can also be perceived as stripped down service. – It can be competitively risky if other providers continue to offer a broader, more extensive full-service alternative.
Increased Complexity	– Higher complexity usually indicates a strategy to gain greater penetration in the market by adding more services. – Increasing complexity can increase efficiency by maximizing the revenue generated from each customer.	– Too much complexity can be confusing as a result overall quality may fall. – I-ighly complex service system may be vulnerable to inroads by competitors who specialize.

One can observe that how changes in complexity and divergence influenced their market position. For managers in service industries, taking a structural approach can help increase their control over some of the critical elements of the service system management. Therefore, for marketers in service industries, process design may be a tool that can substantially increase their impact and role in marketing their services.

Activity 1

Recall any recent family visits you have had and the preparations that were made (for instance, while travelling by plane, the activities can include ticket booking, checking in, going through security, transferring bags, etc.). Share your experiences with this visit's service process as well.

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10.3 CLASSIFYING SERVICE PROCESSES

After completing activity 1, you might be able to know that one can start by simply recalling the actions or events involved in using a service in order

to comprehend the service product as a process. A service experience is the result of passing through a series of predetermined steps or stages, each requiring a certain activity or interaction. An enabling process facilitates the design and delivery of services. Lovelock et al. have suggested the classification process of services, which affects the type of service operations as shown in table 10.2

Table 10.2 Four Broad Categories of Services

Nature of the Service Act	Object of the Service Act	
	People	Possessions
Tangible Actions	<i>People Processing</i> (Services directed at people's bodies); Passenger transportation Health care Lodging Beauty salons Physical therapy Fitness centre Restaurant/ bars Barbers, Funeral services	<i>Possession Processing</i> (Services directed at physical possessions). Car repair Freight transportations Laundry and dry cleaning Maintenance and repair
Intangible Actions	<i>Mental stimulus Processing</i> (Service directed at People's minds): Advertising Arts and entertainment Broadcasting cable management consulting Education Information services Music concerts Psychotherapy Religion Voice telephone	<i>Information processing</i> (Services directed at intangible assets): Accounting Banking Data transmission Data processing Insurance Legal services Programming Research Software consulting

Source: Adapted from Lovelock, and Wirtz (2022), *Services marketing: people, technology, strategy*, Ninth edition.

From an operational standpoint, service processes may be divided into four major categories based on tangible actions on people's bodies or physical possessions and intangible actions on people's minds or their intangible assets. These categories are referred to as "people processing," "possession processing," "mental stimulus processing," and "information processing."

The fundamentally distinct types of processes that are involved in each of these four categories have important implications for managers of operations, marketing, and human resources.

People Processing

Processes need users or customers to go through a series of actions during service delivery in order to receive the desired benefits of such services. Passenger transportation, hairdressing, manicures, and dental work are a few examples of people-processing services.

Possession Processing

In possession processing, the presence of the customer is not required; the object that needs to be processed must be present. Unlike for people-processing services, production and consumption are not necessarily simultaneous, because tangible treatment is given to the physical possessions of the customer during possession processing. As a result, the service provider has more flexibility to develop and deliver these services. Examples of possession processing include air freight, cleaning, lawn care, home repairs, elevator repairs, etc.

Mental Stimulus Processing

Mental stimulus processing refers to intangible activities that are directed at people's minds and have the ability to affect attitudes and influence behaviors. Education, news and information, theatre performances, entertainment, sporting events, expert counsel, and various religious activities are all examples of mental stimulus-processing services. Customers in these situations must be mentally present, although they can be situated either nearby—for example, in the same lecture hall or sports stadium where the services are being created—or far away yet connected via broadcast signals or communications linkages.

Information Processing

Information processing refers to intangible operations carried out on a customer's assets. Information and communications technology (ICT), as well as experts who analyse and package information using their brains, are two ways that information can be processed. Insurance, banking, financial counselling, legal, market research, management consulting, and medical diagnostics are a few examples of industries that provide information processing services. Once the service request has been initiated in this category, there may not be much direct interaction with the consumer necessary, and even that can be done over the phone, via the Internet, or by mail.

It might be challenging to distinguish between services that process information and those that process mental stimuli. For instance, it appears to be information processing when a stockbroker analyses a client's brokerage transactions. It would appear to be mental stimulus processing, nevertheless, when the analysis's findings are utilised to suggest the best kind of investing strategy for the future. In order to keep things simple, we may group together our coverage of mental stimulation and information-processing services under the general heading of information-based services.

Types of Service Delivery Processes

Services can be described on the basis of the types of processes used in the delivery of the services. The service provider must have a clear understanding of the type of process that will be applied in the service delivery system, as the layout, personnel requirements, and equipment needs will all be impacted by the selection of the system. There are three types of delivery processes that are applicable in case of service products are **line operations**, **job shop operations** and **intermittent operations**.

Self-service restaurants and shops are examples of **line operations**. The consumer moves through logically arranged operations which are arranged in a sequence. In a self-service departmental store, the consumer starts picking up the items he needs and pays for them near the exit. This kind of delivery process is relevant when the service you are providing is fairly standard and the consumers' requirement is of a routine nature.

When the consumers require a combination of services using different sequences, the **job shop type of operation** is more useful. Hospitals, restaurants and educational institutions usually have this type of delivery process. In a hospital, some patients need only consultation in the Out Patient Department, some others may need consultation as well as medication or X-ray, some patients require hospitalisation for surgery, medication or investigations. A college may offer courses for full-time students as well as for working people through correspondence/online.

Intermittent operations are useful when the type of service is rarely repeated. Firms offering consultancy for projects use this kind of delivery system. Advertising agencies also use the intermittent delivery system since each advertising campaign requires a unique set of input factors.

Activity 2

Discuss your own examples of the three types of service delivery processes (line operations, job shop operations and intermittent operations)

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10.4 DESIGNING SERVICE PROCESSES

Critical service process characteristics should be accurately described and illustrated so that employees, customers, and managers can all understand what the service is, their roles within it, and all the steps and flows that make up the service process. As a result, it will be simpler to align customer expectations with service requirements. In this section, we will discuss service blueprinting, a useful method for designing service processes.

10.4.1 Service Blueprint

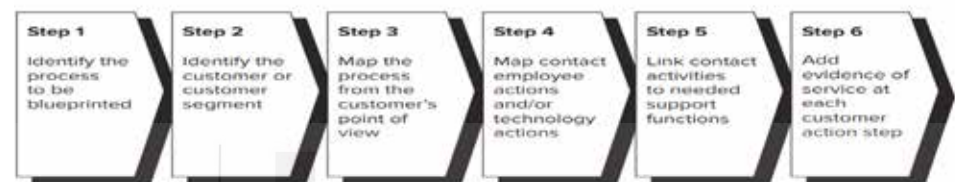
The first step in designing an effective service process is to systematically plan and record the flow of activities. A service blueprint describes in detail the flows, sequences, interactions, and dependencies among the many activities that make up a service process, including both the front-end

activities that are visible to customers and all of the back-end operations. Customer, employee, and service system interactions are mapped in service blueprints. Blueprints depict the entire customer journey, from the start of the requested service to its completion, which may involve various steps and service personnel from various departments. According to Zeithaml and Bitner, “A service blueprint visually displays the service by simultaneously depicting the process of service delivery, the points of customer contact, the roles of customers and employees, and the visible elements of the service.”

10.4.2 Developing a Service Blueprint

The steps involved in the process of developing a service blueprint are shown in figure 10.1.

Figure 10.1 Steps in the Process of developing a service blueprint



***Source:** adapted from Zeithaml, V.A., Bitner, M.J., and Gremler, D.D.(2018). Services Marketing: Integrating Customer Focus Across the Firm, Seventh Edition*

Step 1: Identify the Service Process to Be Blueprinted

There are different levels at which blueprints can be created, but regardless of whether it is a main process or a sub-process, it is crucial to know what it is before developing blueprints. Once you have specified the primary goal for developing the service blueprint, you can select which process to begin with.

Step 2: Identify the Customer or Customer Segment Experiencing the Service

Market segmentation explains that different customer groups may have different wants and requirements, necessitating different service or product attributes. If the service process varies depending on the customer segment, then it is crucial to blueprint these processes separately.

Step 3: Map the Service Process from the Customer's Point of View

It will be easier to avoid concentrating on procedures and actions that have no bearing on the consumer if the service is first identified from the perspective of the customer. The customer journey map, which involves mapping the choices and actions that the consumer encounters in sourcing information, purchasing, consuming, and reviewing the service, is a useful tool for understanding the customer interactions or the choices and actions they perform throughout the many service touchpoints.

Step 4: Map Contact Employee Actions and/or Technology Actions

In this approach, the service process is initially mapped from the perspective of the contact person working in the front and backstage. It involves interviewing or observing operations personnel to learn more about the tasks they perform in front of customers and those they complete behind the scenes. If the service is delivered via technology, the actions can be mapped

to the interface.

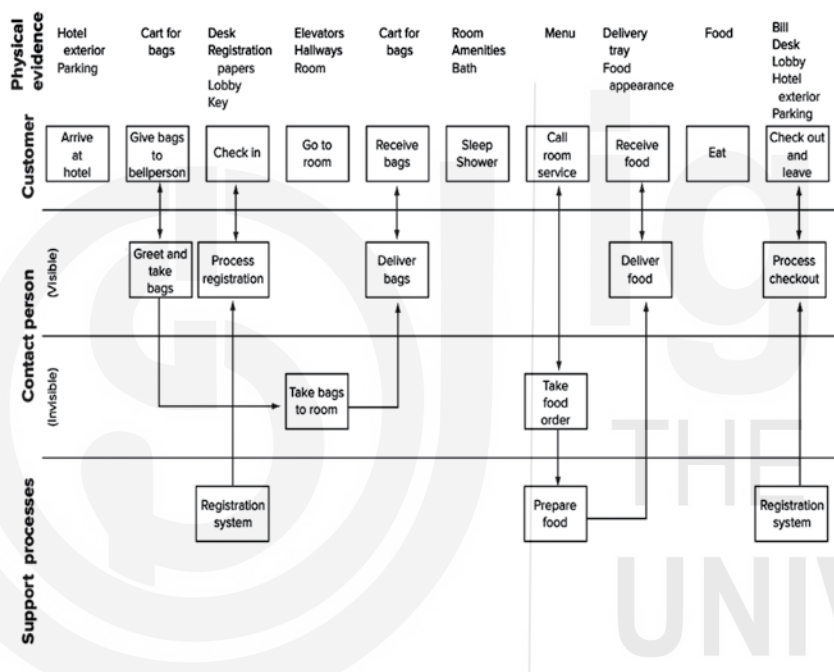
Step 5: Link Contact Activities to Needed Support Functions

Link the contact activities to the support functions once they have been identified. When internal service processes are seen in the perspective of their relationship to the customer, internal service procedures assume more importance. This stage makes it easier to understand both the direct and indirect effects of internal actions on customers.

Step 6: Add Evidence of Service at Each Customer Action Step

Finally, enhance the blueprint by including the physical evidence of service. This emphasises the visible signs of the service that the customer experiences at each stage of the service process. The Blueprint for Overnight Hotel Stay Service is illustrated in figure 10.2

Figure 10.2 Blueprint for Overnight Hotel Stay Service



Source: E. E. Scheuing and W. F. Christopher, *Service Quality Handbook*, 1993.

10.4.3 Advantages of Blueprinting

The following are some advantageous aspects of blueprinting that could be used to improve the efficiency and effectiveness of the service process.

- provides the service delivery process more clarity because the real benefits are visible and everyone involved in the creation is aware of what is delivered.
- allows for the identification of critical incidents that either enhance or degrade the customer experience.
- encourages each centre to make its own attempts to reduce costs and raise quality standards, as each activity centre shown on the blueprint serves as a responsibility centre with distinct financial effects.
- brings coordination operations in perspective by highlighting the interdependencies across different work centres. When these linkages

are formed and clearly stated, the efficiency of the service system can be improved.

- provides information on the training needs of employees.
- enables the management of customer contacts strategically at designated touchpoints.
- allows for further improvement of the process

Activity 3

Prepare a blueprint for a service you are familiar with (For example, Restaurant, shopping mall etc.) Once completed review it by considering the observable cues or quality indicators from the customer's perspective.

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10.5 COSTUMER INVOLVEMENT IN SERVICE PROCESS

The role of customers in the service process has been redefined as a result of the changing business dynamics brought on by the development of online and self-service technology. Participation of the customer in the service delivery process is required. As a result, the service user also influences the service's quality. At the same time, customers can also influence or contribute to their personal satisfaction with the services they receive.

10.5.1 Service Encounters

A "service encounter" is when a customer interacts directly with a service. In some circumstances, the entire customer service process can be shortened into a single encounter that includes placing an order, making a payment, and finishing the service delivery right away. In other cases, the customer's experience is made up of a number of interactions, a drawn-out process that may be spread out over time, include several service personnel, or even take place in different locations. Although some studies exclusively refer to encounters involving interactions between customers and service personnel, in fact we also need to take encounters involving interactions between customers and self-service technologies into account. The more involved a customer is with the service operation, the longer and more frequent service encounters are likely to become.

Some level of customer involvement in service delivery is required in many services that involve direct interaction between customers and service providers. However, the level of such participation can be broadly classified as high-contact services, medium-contact services, or low-contact services.

High contact services

In the case of high contact services, customers regularly visit the service facility. Customers actively participate with the service provider throughout the service delivery process to co-produce the service because this is essential to its creation. For example, medical services, hairdressing.

All people processing services are high contact. When customers visit the service site and stay there until service delivery is finished out of habit, preference, or a lack of other options, services from the other three process-based categories (refer section 10.3) may also include high degrees of customer engagement. Retail banking, buying retail items, and higher education are some examples of services that have traditionally required high interaction but are now possible with technology to be low contact.

Higher education, retail banking, and the retail shopping are a few examples of services that previously required a lot of interaction but are now technologically feasible to be low-contact.

Medium- contact services

In the case of medium-contact services, customers' inputs are required in order to help the service providers in developing and delivering the service, as well as to provide some level of customization. It includes situations where customers come to the service provider's offices (or are visited by that provider at their homes or another place) but leave before the service is completed. The purpose of these interactions is commonly limited to building a relationship and identifying a service need, as in the case of management consulting, insurance, or personal financial advising, where clients initially visit the firm's office but only interact with the provider minimally while the service is being produced. The same is true for many digital services as well, which usually need users to download applications, activate them, and provide information before using app-based services.

Low-contact services

In the case of low-contact services, service personnel and systems do every task. If necessary, only the customer's physical presence is required; no actual contact between clients and service providers is required. Examples include going to the movie theatre or riding a bus.

In today's technologically advanced society, both mental stimulus processing (such as radio and television) and information processing services (such as insurance) naturally fit into this category.

Possession-processing services are also included, in which the item in need of repair can be shipped to the service facility or subjected to remote fixes delivered electronically to the customers' premises from a distant location. Except for granting access to service providers and paying for them, users can completely avoid involvement in possession-processing activities like routine cleaning or maintenance.

Customer involvement in service delivery at different levels will ultimately impact service quality, customer satisfaction, and productivity. Table 10.3 provides examples of each level of involvement for both consumer and business-to-business services.

Table 10.3 Levels and Examples of Customer Participation across Different Services

Low: Customer Presence Required during Service Production	Moderate: Customer Inputs Required for Service Creation	High: Customer Cocreates the Service
Service is standardized.	Client inputs (information, materials) help customize a standard service.	Active client participation guides the customized service.
Service is provided regardless of any individual purchase.	Provision of service requires customer purchase.	Service cannot be created apart from the customer's purchase and active participation.
Payment may be the only required customer input.	Customer inputs are necessary for an adequate outcome, but the service firm provides the service.	Customer inputs, choices, and actions cocreate the outcome.
Consumer Examples		
Airline travel	Haircut	Marriage counseling
Motel stay	Annual physical exam	Personal training
Fast-food restaurant	Full-service restaurant	Weight reduction program
Business-to-Business Customer Examples		
Uniform cleaning service	Agency-created advertising campaign	Management consulting
Pest control	Payroll service	Executive management seminar
Interior greenery maintenance service	Freight transportation	Installation of computer network

Source: Adapted from A. R. Hubbert, "Customer Co-Creation of Service Outcomes: Effects of Locus of Causality Attributions," 1995

The above categorization of services based on the degree of customer involvement is, however, not static in nature, as many high and medium contact services are evolving into low-contact services as customers engage in online shopping for their insurance and banking transactions, or research and buy products through internet websites, using app-based services for payments, buying goods and services, and so forth.

10.5.2 Role of Customer in Service Process

As we have already discussed, every service situation calls for some involvement from the customer. In service encounters, customers can play a variety of roles that vary depending on several characteristics. Manfred and Dominik (2006) have classified the role of customer in service interaction in five categories as discussed below.

- The Specifier;
- The Transferer;
- The Abandoner;
- The Co-producer;
- The Co-user.

The Specifier

The customer frequently needs to specify the purchase order and convey specific requirements for the desired service in order to start the service

process. For example, insurance providers determine different premium rates for their customers based on a range of factors, such as age and medical history. Medical services are another example where the information that the customer provides is much more specific.

The Transferer

Many services need the customer to perform preliminary tasks that require the transfer of people or goods before the main service process can begin. Taking the children to school, dropping off letters to the post office, or driving the car to the service centre are a few examples. If the customer did not move to the place of the service, the service could not be provided, and therefore no value could be created for the customer or the supplier.

The Abandoner

A consumer abandons something when they interact with a service. If the customer decides not to use the service, they may have used this time for other purposes. For example, the client loses time at work, if they take their car to the service centre and then use another mode of transportation to leave work. During the time that the car is being repaired, the customer needs to use alternative modes of transportation.

The Co-producer

As a co-producer, the customer actively takes part in the service's production. For instance, a patient receiving physiotherapy treatment will considerably impact the service's outcome by engaging in the exercises, and a person using a tax firm's services for tax submissions will significantly influence the service's production by submitting necessary documents on time.

The Co-user

The term "co-user" refers to specific service interactions in which multiple consumers participate at the same time. This applies to places like aeroplanes, dining restaurants, sporting venues, doctor's offices, health clubs, etc.

The five customer roles discussed above describe typical activities by customers in the service production process. These five roles are not exclusive and limited. Chervonnaya (2003) classified the customer's role in the service process into eight categories, including passive consumer (less motivated or demanding), Learning (customer as source of learning), Resource (customer provides information inputs), Co-producers (active participant in service process), Auditor Customer (who assesses service delivery and quality outcomes), Competitor (Self-service customer, competing with companies that offer the same service), Marketing (recommends the services to others), Decision-Maker (who decides which producer to choose or whether they will produce the Service themselves)

According to Zeithaml et al (2018) three roles played by customers in service cocreation and delivery are customers as productive resources (i.e., as "partial employees" of the organization); customers as contributors to quality, satisfaction and value (i.e., as creators and cocreators of value); and customers as competitors (partially or entirely perform the service for themselves and not need the provider at all)

Activity 4

Select any service of your choice (such as banking, higher education, or public transportation) and identify the various customer roles. Also consider the approaches each service provider uses to manage the customer roles.

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10.6 CUSTOMER SWITCHING

By now, you will have well appreciated that in a service business, having customers, not merely acquiring them, is crucial. Therefore, it becomes important to understand what actions of service companies or their employees make customers switch from one service provider to another. Customers leave a provider for a wide variety of reasons. Consider when you were last dissatisfied with a service provider or changed a service provider. What were the specific reasons for your reaction? Was it because of a perception of poor quality or the failure of a service encounter? Susan Keavenly identified the following reasons for customer switching in service industries:

- Pricing (excessive pricing, price increase, unfair pricing, misleading or deceptive pricing)
- Inconvenience (location, waiting for an appointment, waiting for service)
- Core service failures (service mistakes, billing errors)
- Service encounter failures (uncaring, impolite, unresponsive, unknowledgeable)
- Response to service failures (negative response, no response, reluctant response)
- Competition (finds better service)
- Ethical problems (cheating, unsafe)
- Involuntary switching (customer moved, provider closed)

Activity 5

Discuss among your friends and colleagues the reasons why they have switched service provider(s). Analyse whether something could have been done by the organization to prevent them from switching.

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10.7 COMPLAINTS AND SERVICE RECOVERY

Complaints are a natural consequence of any service activity. Mistakes are a critical part of every service. Since services are generally performed in the presence of customers, errors are bound to happen. While it may not be possible to prevent all errors, companies can learn to recover from them. “Service recovery” refers to the action taken by the service provider in response to a service failure. Service recovery, according to Tad and Brown, is “a process that identifies service failures, effectively resolves customer problems, classifies their root cause (s), and yields data that can be integrated with other performance measures to assess and improve the service system.” A good recovery can turn angry, frustrated customers into loyal ones. Furthermore, customers who have been successfully recovered not only remain loyal but can become advocates for the organisation spreading a positive word-of-mouth.

When an error or service failure occurs, the customer may or may not complain. A customer who doesn’t complain is less likely to come back to the service provider. Therefore, the service provider has to make specific efforts to encourage customers to voice their concerns. Complaints provide feedback on how the service provider is performing in the market place. When customers complain, two potentially positive things happen for a service provider.

- I. The provider gets the chance to fix the problem and retain the customer (service recovery).
- II. Complaints can point to areas of the business that need

A good complaint culture and a good complaint process may well lead a service provider to improved financial performance. Research has shown that excellent complaint management service recovery can significantly influence customer satisfaction and loyalty. The service provider, in order to improve the solicitation of complaints, should make it easy for the customers to get in touch. This can be done by providing multiple means of contact, like toll-free numbers, websites, social media, and customer contact points with service personnel. Further, these should be published on a continuous basis and the customers should be made to feel that their feedback is invaluable and their opinions are wanted. The company should treat a complaint as a gift and the one who complains as a friend.

Complaint Management

Bill Dee (Convener of the ISO Technical Committee ISO/TC 176 subcommittee 3 working group on complaint handling) opines that any worthwhile complaints management system has to have certain basic features:

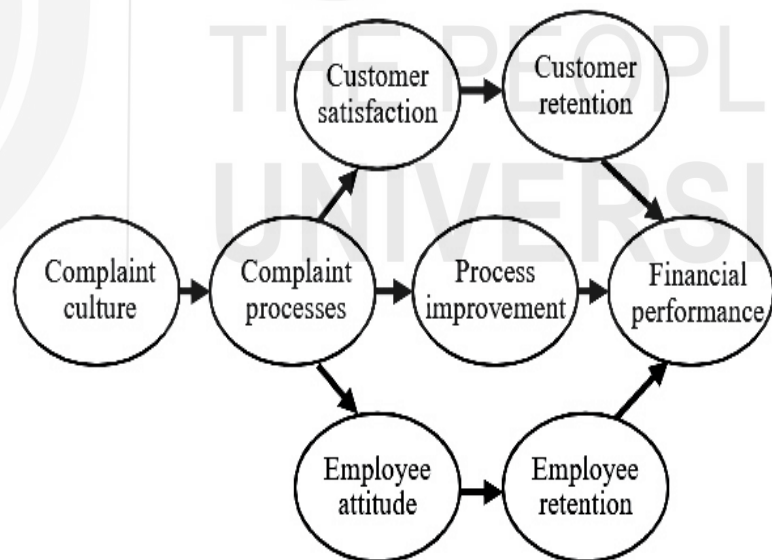
- a) **Visibility:** Customers should know where to complain
- b) **Accessibility:** Customer should know how to complain. As a rule of thumb, the more formal the system for lodging complaints, the less accessible it is to customers.
- c) **Responsiveness:** Complaints need to be dealt with quickly. The quicker the complaints are dealt with, the higher the customer satisfaction.

- d) Customer-focused approach: A service provider who adopts customer focused approach invites complaints and indicates commitment to resolving complaints by its words and actions in all fairness.
- e) Accountability: Someone in the organization has to take the responsibility for complaint handling.
- f) Continuous improvement: This is about looking at the root causes and fixing them.

A good complaint management system must ensure that the complainant is kept informed, the staff understands the complaint processes, complaints are taken seriously, employees are empowered to deal with the situation, and there are follow-up procedures after resolution.

Robert Johnston has developed a conceptual model linking complaint management and financial performance as shown in Figure 10.3. The author, through an empirical study, concluded that “It is not the complaint processes per se that lead to financial benefit but how organisations manage the intervening variables, i.e., satisfying and retaining the customer/employee and/or improving the product or bringing out process improvement.” Financial benefits accrue from satisfying and retaining dissatisfied customers through service recovery; by using information from complaints to improve both operational and organisation-wide processes; and by satisfying and retaining employees. All this is contingent upon the organization’s complaint culture.

Figure 10.3: A Conceptual Model of Complaint Management



Source: Robert Johnson, “Linking Complaint Management to Profit,” *International Journal of Service Industry Management*, Vol. 12, Nov. 2001

SERVICE RECOVERY STRATEGIES

The above discussion gives you a fair idea of the need for complaint management, its components, and the importance of service recovery. Let us now focus on strategies for service recovery. Hart, Heskett and Sasser

suggest that service companies must become gymnasts, able to quickly regain their balance after a slipup and continue their routine. According to them, companies that want to build the capability of recovering from service problems should do the following things.

- 1) Measure the costs of effective service recovery
- 2) Break customer silence and listen closely for complaints
- 3) Anticipate needs for recovery
- 4) Act fast
- 5) Train and Empower employees
- 6) Close the customer feedback loop

Let us briefly discuss the above strategies.

Measure the costs: As services marketers you should not underestimate the profits lost when a customer departs unhappily. Once this is appreciated, it will get due attention as it is said that what gets measured is truly what gets managed.

Break the Silence: This refers to soliciting and encouraging complaints from the customers.

Anticipate Needs for Recovery: Service providers can look for the weak links or the areas which tend to be problem prone and address them in their service recovery strategies.

Act Fast: Customers who complain want quick responses. The urgent resumption of service and an apology are often sufficient to make amends. (but not always). The speedy response to complaints and service failures requires appropriate systems and procedures as well as trained and empowered employees.

Train and Empower Employees: The company should empower the front-line employees to act and should give them the authority, responsibility, and incentives to follow the customer.

Close the Loop: If a customer complaint leads to a corrective measure, the company should tell the customer about the improvement. Even if something can't be fixed, the company should explain it to the customer. Effective ways of closing the loop include making timely telephone calls or messages, e-mail communication, and letting the customer know that his suggestions might be implemented.

10.8 Issues in Process Management

As a manager you are interested in optimising the efficiency of your organisation without sacrificing the qualitative aspect. Some of the critical questions you need to focus upon are:

- a) What are the steps involved in delivering the service to the consumer?
- b) Are they arranged in the most logical sequence?
- c) If not, can some steps be eliminated, combined or rearranged to form a smoother sequence?
- d) What are the steps in which the consumer is involved?

- e) Can the consumers contact be reduced or totally eliminated?
- f) Can we introduce automation to speed up the delivery process?

You will appreciate that the importance of process management is that it assures service availability and consistent quality. Without sound process management, balancing service demand with service supply is extremely difficult. Service cannot be inventoried; therefore, it becomes essential to find out ways and means to handle peak load to optimize different customer needs with varied expertise levels within the service organization.

In marketing management, operations management has been recognized as an integral function. In manufacturing sector, for example, logistics in distribution are vital to satisfy the customer needs. Similarly in services sector, where there is no tangible product, the operations management is vital to deliver satisfaction because here the operations management would decide how the process of service delivery would function, or in other words, the interactive experience that would deliver the service benefits to the consumers.

Cowell identified that the issues in operations management or process management are many, as summarized in Table 10.4. However, the degree to which these issues are successfully managed would decide or determine not only the satisfaction but it might also give a competitive edge to an organization.

Table 10.4: Issues in Process Management

S.No.	Area of Operations	Explanation
1.	Process Planning and Control	Operation specifications to achieve service output in terms of quantity, quality, delivery and costs.
2.	Operations Planning	Detailed specification of each sub system.
3.	Facilities Design	Design, layout, locations, materials handling and maintenance.
4.	Scheduling	Detailing the timings at which service operations should be completed by agreed delivery promises within available resources and with their economic utilization.
5.	Inventory Planning and Control	Planning and controlling the inventory of people and capacity
6.	Quality Control	Quality standards are attained in each service system.
7.	Operations Control	Information flows into and out of service systems and ensures that operations are undertaken at specific tunes as per schedule.
8.	Forecasting and Long Term Planning	Anticipating demands and forecasting capabilities that need to be inducted in the system.

Select any service process you are familiar with and discuss the potential for automation to ensure efficient service delivery

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10.9 SUMMARY

The importance of process element in the extended service marketing mix is discussed in this unit. Service processes outline the manner and order in which service systems operate as well as how they interact to deliver the value proposition that customers are promised. Consumer interaction with the system is important for the production of services due to the inseparability characteristics of services. However, there are variations in the level of customer involvement in high-contact, medium-contact, and low-content businesses. From an operational standpoint, service processes may be divided into four major categories as “people processing,” “possession processing,” “mental stimulus processing,” and “information processing.” The fundamentally distinct types of processes that are involved in each of these four categories have important implications for managers of operations, marketing, and human resources. The importance of blueprinting in the development of service processes is also covered in this unit, along with challenges relating to service process management. Finally, the unit outlines a number of reasons why customers switch, and most of these reasons are controllable by good complaint management and effective service recovery.

10.10 KEY WORDS

High contact services: involve customers actively participate with the service provider throughout the service delivery process.

Intermittent operations: Operations that are only intermittently repeated.

Job shop type of operation: When customers need a variety of services in a varied order, the job shop type of business is more beneficial.

Line operations: Consumers pass through logically organised activities that are arranged in a particular order for services.

Low-contact services: Services with little customer interaction are provided by systems and service personnel.

Medium- contact services: refers to those in which customers interact with service providers but not actively involved as co-producer of the services.

Service blueprinting: A technique for simultaneously depicting the service process, the points of customer contact, and the evidence of service from the customer’s point of view.

Service encounter: An interaction between a customer and a service delivery system is referred to as a service encounter.

Service processes: outline the manner and order in which service systems operate as well as how they interact to produce the value proposition that customers are promised.

Service recovery: refers to the action taken by the service provider in response to a service failure.

10.11 SELF-ASSESSMENT QUESTIONS

- 1) It is commonly said that “complexity and divergence coexist in every service process.” Comment on this statement.
- 2) Discuss the four categories of the service process and give an example for each type
- 3) What does “service blueprint” mean? What benefits do blueprints offer?
- 4) Differentiate between high-contact, medium-contact, and low-contact services. How are people’s roles different in these services?
- 5) What different roles do service consumers play? Discuss.
- 6) Why do customers switch service providers? Can you do anything as a marketer to prevent the customers from switching?
- 7) What benefits do an organization derive in seeking customer complaints? Discuss the features of a good complaint management system.
- 8) Consider a service firm you are familiar with. Describe the importance of service recovery to the firm and develop a service recovery strategy for it.
- 9) Select a service process that you are familiar with and explore at aspects where it might be improved. Additionally, describe how automation can be utilised to manage processes effectively.

10.12 PROJECT QUESTION

Select a service that you are familiar with, and then list the customer’s actions. From the customer’s perspective, what constitutes “evidence of service”?

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